Software Project Management
Assignment-3
TYPE OF QUESTION: MCQ/MSQ

Number of questions: **10** **Total mark: 10 X 1 = 10**

QUESTION 1:

Which of the followings is an example of development cost?

a. Salary to staffs
b. Hardware cost
c. Recruitment cost
d. Staff training cost
e. Operational cost

Correct Answer: a. Salary to staffs

Detailed Solution:

Salaries of developers, testers, and other technical staff directly involved in building the product are considered direct development costs. Hardware used for development can sometimes be included, but it is often classified as infrastructure; recruitment and training are overheads, and operational costs occur after deployment.

QUESTION 2:

Which element of Project Portfolio Management (PPM) is responsible for determining the scope of the portfolio, such as whether it should include all organizational projects or only projects from a specific domain (e.g., Healthcare Projects)?

a. portfolio definition
b. portfolio management
c. portfolio optimization
d. portfolio deletion
e. portfolio creation

Correct Answer: a. portfolio definition

Detailed Solution:

Portfolio definition is the PPM element responsible for establishing the portfolio's purpose, boundaries, and selection criteria—including deciding which types of projects (e.g., all organizational projects or only healthcare projects) are included. Portfolio management, optimization, deletion, and creation are related but focus on ongoing governance, value maximization, removal, or establishment, rather than defining scope.

QUESTION 3:

Which one of the following is generally classified as an indirect cost in a software project?

a. Insurance
b. Development cost
c. setup cost
d. operational cost
e. Hardware procurement cost

Correct Answer: a. Insurance
Detailed Solution:

Insurance is generally classified as an indirect cost (overhead) because it supports overall business operations and cannot be traced directly to a specific project. Development costs, setup costs, operational costs, and hardware procurement are typically treated as direct costs tied to specific project activities.

QUESTION 4:

Which one of the followings is an example of a variable cost?

a. Cost of computer forms according to the amount of processing
b. Straight-line depreciation of hardware
c. exempt employee salaries
d. insurance
e. Annual software license fee paid at a fixed rate

Correct Answer: a. Cost of computer forms according to the amount of processing

Detailed Solution:

The cost of computer forms varies directly with the amount of processing activity—more processing means more forms consumed, making it a true variable cost. In contrast, straight-line depreciation, exempt salaries, insurance, and fixed-rate software license fees remain constant regardless of usage volume, so they are fixed costs.

QUESTION 5:

In break-even analysis, return period is the period when

a. the candidate system provides greater benefit than the old one.
b. the candidate system provides less benefit than the old one.
c. the candidate system provides equal benefit as the old one.
d. the candidate system does not provide any benefit.
e. the old system does not provide any benefit.

Correct Answer: a. the candidate system provides greater benefit than the old one

Detailed Solution:

The return period is defined as the time when the candidate system provides greater benefit than the old one — that is, the point at which the investment has not just broken even, but actually started delivering net positive advantage.

QUESTION 6:

What will be the ROI for the following project details?

Year	Cash Flow Projection for Project B (in Rs.)
0	-1,000,000
1	200,000
2	200,000
3	200,000
4	200,000
5	300,000

a. 2%
b. 2.5%
c. 5%
d. 10%
e. 10.5%
f. 12%
g. 12.5%

Correct Answer: a. 2%

Detailed Solution:

Total net profit = Rs. 100,000
Project duration = 5 years
Average annual net profit = 100,000 / 5 = Rs. 20,000
Average annual ROI = (20,000 / 1,000,000) × 100 = 2%

QUESTION 7:

In which of the following risk evaluation methods, it is required to construct a project risk matrix?

a. Risk identification and ranking
b. Risk and net present value
c. Cost-Benefit Analysis
d. Risk profile analysis
e. Using decision trees

Correct Answer: a. Risk identification and ranking

Detailed Solution:

A project risk matrix (probability-impact matrix) is constructed during risk identification and ranking to visually prioritize risks based on their likelihood and potential impact. This helps determine which risks need immediate attention. Other methods like NPV analysis, cost-benefit analysis, risk profile analysis, or decision trees do not require constructing a risk matrix as their primary tool.

QUESTION 8:

In Cost-Benefit Analysis method for risk evaluation, it is required

a. to categorize the projects as high, medium or low risk projects using a scoring method and assign an appropriate risk premium for each category
b. to evaluate whether the risk is important and, decide on a suitable course of action
c. to construct risk profiles using sensitive analysis
d. to construct a project risk matrix
e. to consider each possible outcome and estimate the probability of its occurring and the corresponding value of the outcome

Correct Answer: e. to consider each possible outcome and estimate the probability of its occurring and the corresponding value of the outcome

Detailed Solution:

In Cost-Benefit Analysis (CBA) for risk evaluation, the standard approach is to consider each possible outcome, estimate its probability of occurrence, and assign a corresponding monetary value to it. This allows calculation of Expected Monetary Value (EMV), which adjusts the benefits and costs for risk. Constructing risk profiles, risk matrices, or categorizing projects by risk premium are associated with other risk techniques, not the core of CBA.

QUESTION 9:

Innovative partnerships contain the projects

a. that an organization undertakes within a particular planning cycle
b. implementing a single strategy
c. performing the activities of identifying common infrastructure and its implementation and maintenance
d. involved in developing new innovative products based on some research
e. based on collaboration by different organizations

Correct Answer: e. based on collaboration by different organizations

Detailed Solution:

Innovative partnerships are defined by collaboration between different organizations—such as companies, research institutions, or universities—to jointly develop new products, share risks, and combine resources and expertise. While option (d) mentions developing innovative products, it lacks the essential element of cross-organizational collaboration, which is the defining feature of innovative partnerships.

QUESTION 10:

Which of the following statements is NOT generally true about a programme manager managing multiple concurrent projects?

a. They are responsible for coordinating several projects at the same time.
b. They typically maintain impersonal relationships with skilled resources.
c. They seek to minimize the overall demand for resources across projects.
d. They often view projects as having distinct objectives and characteristics.
e. They strive to optimize the utilization of resources across concurrent projects.

Correct Answer: b. They typically maintain impersonal relationships with skilled resources.

Detailed Solution:

Programme managers managing multiple concurrent projects generally build strong, collaborative, and personal relationships with skilled resources to secure their commitment, motivation, and availability—not impersonal ones. The other statements (a, c, d, and e) are generally true: they coordinate multiple projects, seek to minimize resource demand, view projects as distinct, and optimize resource utilization across the portfolio. Thus, (b) is the statement that is NOT generally true.

******THE END******